

Rating Rationale

16 Sep 2025

PVP Ventures Limited

Brickwork Ratings Affirms the ratings of BB+ (Stable) for the Non-Convertible Debentures of Rs 150 Crs. of PVP Ventures Limited and converts the provisional ratings into final ratings

Particulars

Instrument	Previous Amount (₹ Cr)	Present Amount (₹ Cr)	Previous Rating (03 April 2025)	Recommended Rating
NCD	150.00	150.00	Assignment of Provisional BWR BB+ (Stable)	BWR BB+ (Stable)#
Total	150.00	150.00	Rupees One Hundred Fifty Crores Only	

*Please refer to BWR website www.brickworkratings.com/ for definition of the ratings

** Details of NCD is provided in Annexure-I&II

#The provisional rating assigned previously is affirmed basis the Finalization of documents such as Debenture Trust deed , Term Sheet, General Information document, Key Information Document and no difference in Key terms and conditions

BWR has relied upon Audited financials upto FY 25 and unaudited results of Q1FY26, financial and cashflow projections provided by the company

DETAILED RATIONALE FOR RATING ACTION / OUTLOOK

Conversion of provisional ratings into Final ratings is basis the Finalization of all documents such as Debenture trust deed , Key Information document , General information document, Term sheet and no major variation observed in draft and Final terms as per these documents

BWR had assigned provisional rating as documents such as debenture trust deed, term sheet, Key information document, General information document were not finalized , which is currently finalized and thus ratings are affirmed at BWR BB+(Stable). BWR notes that the company has strategic partnership with various developers. PVP Ventures Limited has tied up with reputed developers like Casa Builders Private Limited, Rainbow Foundations Limited and Brigade Enterprises Limited for executing various projects.

The Ratings factors in early stage construction and demand risk of the project and dependence on the JDA partner. The project is scheduled to be launched in Q3 FY2025. The ratings are supported by the favourable location and a reasonably demonstrated execution track record of the JDA partner as well as strong cashflow coverage and escrow mechanism together with initial moratorium period which affords flexibility to service the NCD. Additionally, BWR notes that the company has concluded the OTS of the previously rated NCDs and is in pursuit of new business lines and is in the process of streamlining its intercompany transactions with other group companies.

Outlook-Stable: The stable outlook assigned to the long-term ratings of PVP Ventures Limited is due to the expectation of the company to benefit from diversification of its products and customers. With increasing scale of operations, its operating profitability should steadily improve going forward leading to improvement in its overall financial risk profile

KEY COVENANTS OF THE INSTRUMENT/FACILITY RATED

Terms	Details
Security Name (Name of the debt securities/non-convertible redeemable preference shares which includes (Coupon/dividend, Issuer Name and maturity year)	18% PVP2029
Issuer	PVP Ventures Limited
Type of Instrument	Debentures
Nature of Instrument (secured or unsecured)	Secured
Seniority (Senior or subordinated)	Senior
Eligible Investors	Eligible Investors as defined in the NCS Master Circular who are specifically approached by the Issuer.
Listing (name of stock Exchange(s) where it will be listed	National Stock Exchange
Issue Size	15000 Debentures of Face Value of INR 1,00,000/- each comprising of 9,500 Series A Debentures and 5,500 Series B Debentures
Details of the utilization of the Proceeds	Series A Debentures: 95 crores Investment and/or acquisition towards HDT Business; Series B Debentures: 55 crores Investment towards development of Project Casagrand Mercury – Phase 3 by way of reimbursement to Company of expenses incurred towards Transaction Costs (to be paid on actuals and on furnishing invoices and receipts) and for Project Land acquisition (including value appreciation of Project Land), expenses incurred towards development of Project Casagrand Mercury – Phase 3 and purchase of assets with prior approval of Series B Debenture Holder subject to creation of security interest for the Secured Obligations in favour of the Debenture Trustee acting for the Debenture Holders;
Coupon/Dividend Rate	18% per annum , Quarterly
Coupon Type (fixed, floating or other structure)	Fixed
Tenor	31.03.2029 ,48 months from the Deemed Date of Allotment
Moratorium	Notwithstanding anything contained in this Deed, the Coupon of Series A Debentures shall be serviced within 12 months from the Allotment Date, subject to Series A Debenture Holder's Entitlement. Notwithstanding anything contained in this Deed, the Coupon of Series A Debentures shall be serviced within 12 months from the Allotment Date, subject to Series A Debenture Holder's Entitlement. Notwithstanding anything contained in this Deed, the Coupon of Series B Debentures shall be serviced within 12 months from the Allotment Date, subject to Series B Debenture Holder's Entitlement..
Redemption Amount	Redeemed at Rs. 226.92 Crores(Principal payment of Rs.150 crs plus interest payment of Rs.72.98 crs plus redemption premium of Rs.3.94 crs)

Redemption Premium / Discount	1% or part thereof applicable at time of redemption or sale or purchase of Series A & B Debentures.
Issue Price	Face Value of INR 1,00,000
Face Value	INR 100000(One Lac) each
Minimum Application and in multiples thereafter	INR. 1,00,000 and multiples of 1 Debenture thereafter
Financial covenants and Additional covenants	The Gearing Ratio shall at all times be less than or equal to 50% till the relevant Mandatory Redemption Date.

KEY RATING DRIVERS

Rating strengths:-

Demonstrated monetising track record of strategically located land parcel ; strong JDA partner for future projects : PVP Ventures Limited has an established track record of over decades in the Chennai region through Joint Development agreements (JDAs) and has monetised its land bank through delivery of 23 Lsf of residential real estate projects in the past along with Real estate developers. The 70 acre land parcel is located strategically and has a well developed surrounding infrastructure which also has a completed project named North town, where 2000 families are already living and project rainbow which is 100% complete and awaiting completion certificate. PVP has entered into a JDA with CASA Builders Private Limited to monetise 12 acres of land and further plans to execute a JV with Brigade on the remaining land parcel

Debt secured through ring-fenced and escrowed cash flow from new project Mercury: Mercury Project is a part of JDA with Casa Builder Private Limited. The company has an upcoming project, Mercury, along with co-developer Casa Builder Private Limited, which is a Joint development agreement between PVP Ventures and Casa Builder Private Limited in the ratio of 40 to 60%, respectively. The project in total has total saleable area of 31,29,552 square feet(1678 units) and total cashflow potential of Rs 560 Crs for PVP Ventures Limited. The company is expected to have an escrow mechanism in place for debt servicing of proposed NCD repayment of Rs 150 Crs, wherein cashflow of Mercury project is expected to be escrowed with investor LIC. The Company is expected to have average DSCR of 2.75 as repayment will take place until FY29, and as repayment schedule as per debenture trustee deed is structured over four years until FY 29 with one year of moratorium for coupon and Installments are expected to be repaid from Q1FY 27 onwards. The company is likely to launch the project in Q3FY26. The company is expected to have average cash coverage ratio of 1.41x for FY 26-30. Additional comfort is derived from cashflows of rainbow project which has unsold inventory of 283 units both for PVP Ventures Limited and Rainbow Foundations Limited and advances of Rs 45 Crs is realized from sold inventory of 185 units as on 31May 2025. with no major operational cost for PVP Ventures Limited and total cash flow potential of Rs 107 Crs for PVP Ventures Limited.

Rating weakness:-

Project execution and market risk in the upcoming and recently launched projects: The project Mercury is although launched recently with developer share, it is still in the nascent stage of execution and is expected to be completed in Nov 2029 as per RERA timelines, exposing it to project execution/completion and time over-run risk along with sale/marketing risk. Any decline in demand may adversely impact its cash flow position, considering the project life cycle. Also, since the company has launched the project rainbow in June 2023, and project is expected to be completed by Oct 2025 as per RERA timelines, leading to sale

/marketing risk for the same. BWR also notes that as per key terms of Joint development agreement PVP Ventures Limited is dependent on Casa Builders Private Limited to sell its inventory position exposing it to competition in industry in close vicinity.

Expected increase in leverage levels; debt-funded investments expected to remain high in near term: The company's debt levels are expected to increase moderately and are expected to be in the range of 0.37x on average in FY 26-27 primarily to fund the Investments/acquisitions and for reimbursement to the company for expenses incurred toward transaction costs and for project land acquisition for project Mercury. However, this risk is mitigated since the company is expected to realize healthy cash flow from operations in FY26-27 from project Mercury and project Rainbow, which is expected to result in repayment of debt in FY 27-29. However, any considerable delay in project launches for the upcoming project or reduction in sales velocity in such launches could exert pressure on its debt protection metrics. Moreover since company has extended loans and advances to group companies (NCCPL) to tune of Rs 240 Crs (as on 31 March 2025) for acquisition of land which are currently provided as security to SEBI, company 's gearing position (analysed) is not meaningful until FY25 and is expected to be around 1.34 x on average for FY26-27.

Cyclicity in the real estate sector- The real estate sector is marked by volatile prices and a highly fragmented market structure because of many regional players. In addition, being a cyclical industry, the real estate sector is highly dependent on macro - economic factors that render the company's sales vulnerable to any downturn in demand. Any new specific approvals on environment, social, regulatory is expected to hit the project as the project duration is four years. However the real estate industry is already covered under RERA act and the act is in place from 2016 onwards. The company has already obtained RERA approvals for the project and does not see major regulatory challenges. .

ANALYTICAL APPROACH AND APPLICABLE RATING CRITERIA: BWR has applied a standalone approach as the project cash flows from this project are ringfenced.

RATING SENSITIVITIES

Positive factors: A positive rating action may result, if the company is able to launch its project as per scheduled timelines and significantly improve its sales and collections in over medium term post launch, while maintaining Gearing (analysed)<1 over medium term

Negative factors: A Negative rating action may result , if the company is not able to launch project as per schedule and generate significant sales in medium term post launch, and/or considerable debt-funded investments in new projects or acquisitions resulting in weakening of Gearing analysed and liquidity position ,on a sustained basis.

LIQUIDITY INDICATORS(Adequate): PVP has cash and cash equivalents of Rs 0.41 Crs. in FY25 at standalone level. The company has nil external debt as on 31 March 2025 resulting in nil debt obligations as on date. The company has planned to avail Rs 150 Crs of NCD's which is expected to be paid FY26-29, however Coupon interest is expected to be repaid after moratorium period of one year from availment in Q4FY 26 and quarterly thereafter and principal repayment is expected to start from Q1FY 27 onwards

COMPANY's / FIRM's PROFILE

PVP Ventures Limited ("PVPL"), formerly SSI Limited, is head quartered in Chennai with business interests in real estate, media & entertainment and special situations. The company was incorporated in 1990 and listed since 1995 (as SSI till 2008). In 2008, PVPL acquired SSI

Ltd. which had a 70 acre land parcel in the heart of Chennai, popularly known as "Binny Mills". The group company New cyberabad City Projects Private Limited also owns 135 acres of prime land in Shamshabad, Hyderabad. In 2009, PVPL signed a joint development agreement ("JDA") with Unitech and Arihant Housing ("Developers") on a revenue sharing basis to build an integrated township called "Northtown" in the 70 acre land parcel in Chennai. and would be investing/has invested in healthcare services, diagnostics, imaging, pathology, tele radiology, senior living and treatment clinics business directly and/or through subsidiary and group entities .The Board of Directors of the Company in its Board Meeting on 12 November 2024 have provided an in-principle approval for the merger of the Company with its wholly owned subsidiary Humain Healthtech Private Limited with an appointed date of 01 April 2024.

KEY FINANCIAL INDICATORS (Standalone)

Key Parameters		FY 2023	FY 2024	FY25	Q1FY 26
Result Type	Units		Audited	Audited	Unaudited
Operating Revenue	Rs.Crs	160.00	0.00	16.90	9.19
EBITDA	Rs.Crs	139.29	-10.75	-5.52	4.78
PAT	Rs.Crs	37.97	32.39	-3.90	0.78
Tangible Net Worth	Rs.Crs	167.21	213.47	209.20	
Tangible Networkth Analysed *	Times	NM	NM	NM	
Total Debt/ Tangible Net Worth	Times	0.22	0.15	0.15	
Total Debt/Tangible Networkth (Analysed)	Times	NM	NM	NM**	
Current Ratio	Times	1.10	1.17	1.17	

*This is as per BWR calculation by reducing Intercompany transactions

**NM -Not meaningful

NON-COOPERATION WITH PREVIOUS CREDIT RATING AGENCY (IF ANY)
:NA

RATING HISTORY FOR THE PREVIOUS THREE YEARS [including withdrawal & suspended]

Sl. No.	Instrument	Current Rating			Rating History		
		Type	Amount (Rs Crs)	Rating	2024	2023	2022
1	NCD	Long Term	150.00	BWR BB+ (Stable) Assignment of Provisional BWR BB+ (Stable) (03 April 2025)	BWR D Continues in ISSUER NOT COOPERATING *(29 Oct 2024) Withdrawn (06 Feb 2025)	BWR D Continues in ISSUER NOT COOPERATING *	BWR D Continues in ISSUER NOT COOPERATING *
Total			150.00	(Rupees One Hundred Fifty Crores Only)			

*Issuer did not cooperate based on best available information

ANY OTHER INFORMATION: NA

Hyperlink/Reference to Applicable Criteria

- [General Criteria](#)
- [Approach to Financial Ratios](#)
- [Rating Criteria- Residential Real Estate](#)

Analytical Contacts	
Karan Ahluwalia Associate Manager- Ratings karan.ahluwalia@brickworkratings.com	Niraj Kumar Rathi [Senior Director– Ratings] niraj.r@brickworkratings.com
1-860-425-2742 media@brickworkratings.com	

PVP Ventures Limited

ANNEXURE I

Details of Bank Loan Facility rated by BWR :NA

ANNEXURE II

INSTRUMENT (NCD/Bonds/CP/FDs) DETAILS:

Instrument	Issue Date	Amount Rs. Crs.	Coupon Rate	Maturity Date	ISIN Particulars	Remark
NCD	09 april 2025-	150.00	18.00%	31 March 2029	INE362A07054	-
NCD	09 april 2025-	150.00	18.00%	31 March 2029	INE362A07047	-
Total		150.00	(Rupees One Hundred Fifty Crores Only)			

***For more information, visit www.brickworkratings.com/download/ComplexityLevels.pdf**

ANNEXURE III

List of entities consolidated : NA

For print and digital media The Rating Rationale is sent to you for the sole purpose of dissemination through your print, digital or electronic media. While it may be used by you acknowledging credit to BWR, please do not change the wordings in the rationale to avoid conveying a meaning different from what was intended by BWR. BWR alone has the sole right of sharing (both direct and indirect) its rationales for consideration or otherwise through any print or electronic or digital media.

About Brickwork Ratings

Brickwork Ratings (BWR), a Securities and Exchange Board of India [SEBI] registered Credit Rating Agency and accredited by Reserve Bank of India [RBI], offers credit ratings of Bank Loan, Non- convertible / convertible / partially convertible debentures and other capital market instruments and bonds, Commercial Paper, perpetual bonds, asset-backed and mortgage-backed securities, partial guarantees and other structured / credit enhanced debt instruments, Security Receipts, Securitisation Products, Municipal Bonds, etc. BWR has rated over 11,560 medium and large corporates and financial institutions' instruments. BWR has also rated NGOs, Educational Institutions, Hospitals, Real Estate Developers, Urban Local Bodies and Municipal Corporations. BWR has Canara Bank, a leading public sector bank, as one of the promoters and strategic partner.

DISCLAIMER :

Brickwork Ratings India Pvt. Ltd. (BWR), a Securities and Exchange Board of India [SEBI] registered Credit Rating Agency and accredited by the Reserve Bank of India [RBI], offers credit ratings of Bank Loan facilities, Non- convertible / convertible / partially convertible debentures and other capital market instruments and bonds, Commercial Paper, perpetual bonds, asset-backed and mortgage-backed securities, partial guarantees and other structured / credit enhanced debt instruments, Security Receipts, Securitisation Products, Municipal Bonds, etc. [hereafter referred to as "Instruments"]. BWR also rates NGOs, Educational Institutions, Hospitals, Real Estate Developers, Urban Local Bodies and Municipal Corporations.

BWR wishes to inform all persons who may come across Rating Rationales and Rating Reports provided by BWR that the ratings assigned by BWR are based on information obtained from the issuer of the instrument and other reliable sources, which in BWR's best judgement are considered reliable. The Rating Rationale / Rating Report & other rating communications are intended for the jurisdiction of India only. The reports should not be the sole or primary basis for any investment decision within the meaning of any law or regulation (including the laws and regulations applicable in Europe and also the USA).

BWR also wishes to inform that access or use of the said documents does not create a client relationship between the user and BWR.

The ratings assigned by BWR are only an expression of BWR's opinion on the entity / instrument and should not in any manner be construed as being a recommendation to either, purchase, hold or sell the instrument.

BWR also wishes to abundantly clarify that these ratings are not to be considered as an investment advice in any jurisdiction nor are they to be used as a basis for or as an alternative to independent financial advice and judgement obtained from the user's financial advisors. BWR shall not be liable to any losses incurred by the users of these Rating Rationales, Rating Reports or its contents. BWR reserves the right to vary, modify, suspend or withdraw the ratings at any time without assigning reasons for the same.

BWR's ratings reflect BWR's opinion on the day the ratings are published and are not reflective of factual circumstances that may have arisen on a later date. BWR is not obliged to update its opinion based on any public notification, in any form or format although BWR may disseminate its opinion and analysis when deemed fit.

Neither BWR nor its affiliates, third party providers, as well as the directors, officers, shareholders, employees or agents (collectively, "BWR Party") guarantee the accuracy, completeness or adequacy of the Ratings, and no

BWR Party shall have any liability for any errors, omissions, or interruptions therein, regardless of the cause, or for the results obtained from the use of any part of the Rating Rationales or Rating Reports. Each BWR Party disclaims all express or implied warranties, including, but not limited to, any warranties of merchantability, suitability or fitness for a particular purpose or use. In no event shall any BWR Party be liable to any one for any direct, indirect, incidental, exemplary, compensatory, punitive, special or consequential damages, costs, expenses, legal fees, or losses (including, without limitation, lost income or lost profits and opportunity costs) in connection with any use of any part of the Rating Rationales and/or Rating Reports even if advised of the possibility of such damages. However, BWR or its associates may have other commercial transactions with the company/entity. BWR and its affiliates do not act as a fiduciary.

BWR keeps certain activities of its business units separate from each other in order to preserve the independence and objectivity of the respective activity. As a result, certain business units of BWR may have information that is not available to other BWR business units. BWR has established policies and procedures to maintain the confidentiality of certain non-public information received in connection with each analytical process.

BWR clarifies that it may have been paid a fee by the issuers or underwriters of the instruments, facilities, securities etc., or from obligors. BWR's public ratings and analysis are made available on its web site, www.brickworkratings.com. More detailed information may be provided for a fee. BWR's rating criteria are also generally made available without charge on BWR's website.

This disclaimer forms an integral part of the Ratings Rationales / Rating Reports or other press releases, advisories, communications issued by BWR and circulation of the ratings without this disclaimer is prohibited.

BWR is bound by the Code of Conduct for Credit Rating Agencies issued by the Securities and Exchange Board of India and is governed by the applicable regulations issued by the Securities and Exchange Board of India as amended from time to time.